

while, reported a rise in revenue to ₹540.7 crore in Q3FY23, from ₹522.5 crore in Q3FY22. Anand Rathi Research says the company is able to sustain margins despite industry headwinds.

“With capex coming live, diversification of product portfolio and increasing geographic presence, we expect Glenmark Life Sciences to perform better,” Anand Rathi said in a report.

For Vijaya Diagnostics, non-Covid-19 revenue witnessed healthy growth in Q2FY23; it was up 15.1 per cent and 15.9 per

cent YoY and QoQ, respectively. Covid-19 revenue, not surprisingly, slumped 67.6 per cent YoY. “We expect 6.9 per cent CAGR in patient volume growth over FY22-FY25E driven by the addition of new centres and increasing footfalls. We remain positive on the stock mainly due to the company’s B2C focus (95 per cent of revenue in Q2FY23), highest margin within the industry and continued focus on deeper expansion in its dominant regions,” says Vinay Bafna, Research Analyst at ICICI Securities. The diagnostics

sector remained sought after last year due to Covid-19 and is expected to remain in the limelight with non-communicable disease testing and preventive healthcare tests rising.

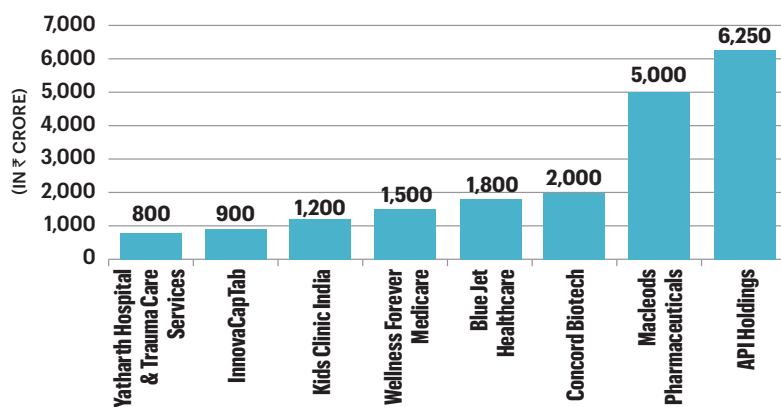
WILL THE UPCOMING IPOs in the sector be able to retain investor interest? “Healthcare and pharma sectors have done well and have a good visibility for revenue and profit growth in a country like India where higher insurance coverage, greater affordability and new supplies have all resulted in medium-term demand visibility. These sectors are defensives and, hence, the seemingly high Nifty price-to-earnings (P/E) ratio does not impact their valuations much,” says Deepak Jasani, Head of Retail Research at HDFC Securities. “Also, a lot of unlisted companies have investments from private equity or venture capitalists who would want to exit (at least partially) after remaining invested for two to four years. Appetite from IPO investors also remains strong as possibility of getting high negative returns from these IPOs is minimal (unlike new-age tech companies).”

According to CRISIL Research estimates, the Indian healthcare industry is expected to post a healthy 13-15 per cent CAGR between fiscals 2022 and 2026. The government’s increased investment in healthcare is also a factor—the central government’s allocation towards Ministry of Health and Family Welfare clocked a promising 11 per cent CAGR between FY11 and FY23, albeit healthcare budget as share of GDP at 1.98 per cent is still rather low.

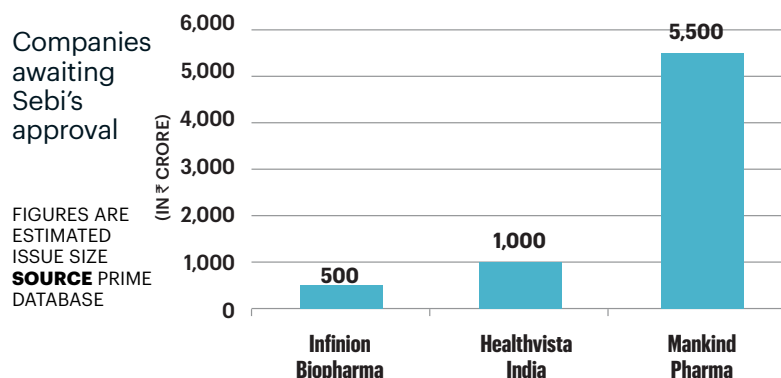
Nonetheless, overall it is a healthy state of affairs. **BT**

With inputs from Rahul Oberoi

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